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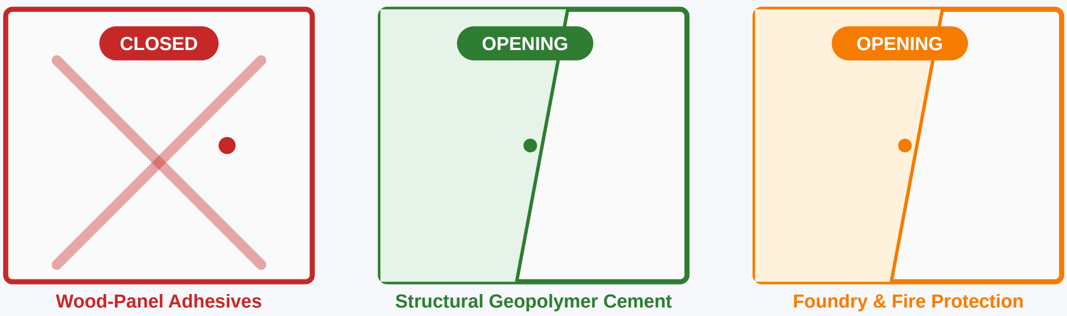
The cliff arrived. A different door opened.

Six weeks ago, the April Decision Intelligence briefing made a confident case: the EU formaldehyde cliff would pull sodium silicate through the wood-panel adhesive door. Three deliverables later, that door has quietly closed and a different one has opened, onto structural geopolymer cement, foundry inorganic binders, and silicate-bonded fire protection. Read as a single body of work, the four pieces surface three patterns no individual deliverable carries on its own: early warnings the portfolio caught before consensus formed, cycle 1 assumptions that have moved, and actions now decision-shaped enough to put on the board's desk.

THE THREE DOORS SILICATE CHEMISTRY CAN WALK THROUGH



The wood-panel adhesive door has been claimed by pMDI and lignin; the structural geopolymer cement door is opening on Hoffmann Green's H-UKR ATec and the CPR GWP declaration; the foundry and fire-protection door is opening on EOTA EAD 340275-00-0104 and the UK Approved Document B consultation.

DRAWING ON

- Decision Intelligence cycle 1, 24 April 2026 · 'When the Boring Becomes Strategic'
- Signal Scan, 24 May 2026 · 'Neither bio nor fossil: the formaldehyde cliff and the quiet opening for inorganic adhesives'
- Change Tracker, 30 May 2026 · 'Formaldehyde cliff hardens; wood-panel substitution chooses pMDI and lignin, not silicate'
- Decision Intelligence cycle 2, 1 June 2026 · 'The Cliff Arrived; The Demand Did Not'

Early warnings

Five things the body of work surfaced before consensus, in the order they hardened.

SPEED OF CONSENSUS CATCH-UP: ~5 WEEKS SIGNAL SCAN CHANGE TRACKER DI CYCLE 2

The wood-panel adhesive window for silicate is closing faster than the April board view

The Signal Scan (24 May) named a "quiet opening for inorganic adhesives". Six days later the Tracker said substitution had chosen pMDI and lignin (MEDITE's full-range NAF-MDI move on 13 April; Koskisen and Stora Enso's NeoLigno Zero extension on 25 May; Bondalti closing 77.23% of Ercros on 13 March, consolidating rather than exiting; EIB's EUR 146m to Kronospan on 18 March, capitalising the incumbents). Cycle 2 elevates this to a Decide posture.

CENTRE OF GRAVITY HAS MOVED DI CYCLE 1 → CYCLE 2

Cement geopolymer is becoming the centre of gravity, not panel adhesives

Hoffmann Green's H-UKR ATec for full superstructure use (12 January) didn't read as centrepiece in cycle 1. The Commission cement-industry policy dialogue convened by Commissioner Hoekstra (25 March), plus the GWP-declaration trigger under CPR from 8 January, hardened the regulatory pull. Cycle 2 promotes this from one of four cycle 1 themes to the leading positive theme.

REGULATORY BACKDROP DI CYCLE 2

The compliance tailwind cycle 1 assumed has been pruned

Council Omnibus I (24 February) narrowed CSRD to over 1,000 employees and over EUR 450m turnover; CBAM Phase 2 deferred chemicals scope to a 2027 evaluation report (17 December); AccelerateEU (22 April) reframes around energy resilience and state aid rather than additional emissions disclosure. The customer-side ESG pull toward low-toxicity binders has softened materially.

COST SIDE DI CYCLE 2

Soda ash supply is tightening at the producer end

Solvay's 30% Torrelavega cut (announced 23 February, executes Q3 2026) removes approximately 180kt of European supply at the same moment European sodium silicate spot prices rose 5% month-on-month into February. Cefic's Q4 2025 chemical trends report (released 3 March) quantifies European gas at 2.5x US levels through 2025. A genuine leading indicator for input-cost squeeze landing late 2026 to early 2027.

NEW ADJACENCY DI CYCLE 2, THEME 6

A fire-protection adjacency is opening that cycle 1 did not see

The UK Building Safety Regulator's Approved Document B consultation (opened 25 March, runs to 1 July) and the ASFP revised guidance (April) push specification toward non-combustible silicate-bonded assemblies. EOTA's EAD 340275-00-0104 is the European specification route. None of this was on cycle 1's screen; it earned a discrete theme in cycle 2.

Assumptions that are shifting

Six explicit shifts between cycle 1 and the cycle 2 body of work, in decreasing order of strategic weight.

SHIFT 1 OF 6

"Sodium silicate becomes the activator of choice in EU low-carbon construction"

The cycle 1 framing needs splitting in two. **True for cement** (Hoffmann H-UKR ATec, CPR GWP declarations, Commission cement dialogue). **False for wood-panel adhesives** (pMDI and lignin captured the substitution share). The aggregated framing was misleading; the cement and panel-adhesive markets behave differently.

SHIFT 2 OF 6

"REACH, CBAM and EII Package is a compliance squeeze that pressures customers toward low-toxicity binders"

Held in cycle 1, does not hold in cycle 2. The squeeze is real on the producer side (CBAM on inputs eventually; energy costs structurally) but the customer-side pull (CSRD scope) has been narrowed. The thesis ran one way; the regulation went the other.

SHIFT 3 OF 6

"Wood-panel formaldehyde substitution is BJ's biggest near-term commercial opportunity"

Implicit in cycle 1. Now refuted. The bigger opportunity is the cement and structural geopolymer-activator demand pull plus fire-protection adjacencies, not panel adhesives.

SHIFT 4 OF 6

"European silicate manufacturing is broadly resilient on the cost side"

Implicit. Now under pressure (Solvay soda ash cut, Cefic competitiveness data). The cost-side risk has gone from background to a Monitor-with-trigger.

SHIFT 5 OF 6

"M&A in European specialty silicates is the 24 to 36 month strategic decision"

Held in cycle 1 as a fourth theme. Cycle 2 deprioritises it (no large deal landed in the six-week window); tempo is annual, not monthly. The thesis is not wrong, just timed wrong for monthly tracking.

SHIFT 6 OF 6

"Silicate's intrinsic advantages (non-toxicity, non-combustibility) translate into customer pull"

False for non-toxicity in wood panels; live for non-combustibility in fire protection. Property-based selling is conditional on which regulatory regime is in the room.

Actions triggered

Four decisions now decision-shaped enough to act on, plus two monitors with named triggers.

DECIDE

Stop investing in wood-panel adhesive customer development and reposition the silicate-adhesive narrative explicitly away from panels

The substitution share is gone to pMDI and lignin; further pursuit is sunk cost. The cycle 2 strategic implication 1 frames this as exit-scoping; the Tracker and the Signal Scan both back it.

PREPARE

Open a structural-geopolymer and cement-activator commercial track

Customer set: Hoffmann Green's emerging EU peer cluster, plus the major cement producers visibly moving on clinker (Heidelberg Materials' Skövde scale-down, Holcim's ECOPlanet line, Cemex's Vertua) for whom sodium silicate is a candidate activator chemistry. Cycle 2 strategic implication 2.

PREPARE

Pursue a foundry inorganic-binder anchor customer through 2026

The window is real (EU LIFE GREEN CASTING institutional pull; ASK INOTEC Generation 6 cost competitiveness; formaldehyde phaseout pressure on phenolic and furan organics) but specification cycles are long. First binder-formulator design-in within twelve months is the realistic target. Cycle 2 strategic implication 3.

PREPARE

Position into the fire-protection and structural-bonding adjacency

UK ADB consultation runs to 1 July; ASFP guidance is now operational; EOTA EAD 340275-00-0104 is the European specification route. Likely customer set: passive-fire-protection formulators (Promat, Etex, Sika) plus structural-strengthening specialists. New since cycle 1, named in cycle 2 theme 6.

MONITOR NAMED TRIGGERS ATTACHED

Soda ash and silica feedstock supply

Triggering events that would move this from Monitor to Decide: a second European soda ash producer announces capacity reduction; Nordic industrial electricity prices break the EUR 80 per MWh sustained band; Sibelco or Quarzwerke announce supply restructuring. Cycle 2 strategic implication 4.

MONITOR REINSTATEMENT CRITERIA ATTACHED

M&A activity in European specialty silicates (Ownership Window theme, paused)

Reinstate if any deal above EUR 100m hits the European silicate, water-glass or specialty-mineral universe before cycle 4. Annual tracking cadence rather than monthly.

The body of work, in one sentence

The substitution thesis that organised the April briefing has been tested, partially refuted on the wood-panel side, and replaced by a stronger thesis on the cement and fire-protection side, with cost-side risk newly visible. That arc is itself the case for keeping the cycle going.

This Cross Cutter draws on the four deliverables of your MakeMyStrategy Single-Topic Programme on **Silicate Adhesives, Geopolymer Cement, Foundry Binders and Compliance Margins**. To extend the programme to additional topics, add a named competitor, or move to a Sector-Exclusive Partnership, contact your analyst.

Book your next-cycle discussion

Add a topic to your programme

Prepared by MakeMyStrategy: 1 June 2026